

lululemon athletica inc. (LULU) — Company Overview

Date: 2026-07-20 | Share price: \$117.32 (per `work_products/financials_summary.md`)

1. Business Summary

lululemon athletica inc. is a designer, distributor, and retailer of technical athletic apparel, footwear, and accessories, sold under the lululemon brand (`primary_sources/FY2025/business.md`). The company operates a vertically integrated, omni-channel retail model — it does not own or operate any manufacturing facilities, instead sourcing through ~51 product-manufacturing vendors (largest producing 15% of product) and ~65 fabric suppliers, concentrated in Vietnam (40% of products), Cambodia (18%), Sri Lanka (11%), Indonesia (11%), and Bangladesh (7%) (`primary_sources/FY2025/business.md`).

Product mix (FY2025 net revenue): women's 63%, men's 24%, accessories and other 13% (`primary_sources/FY2025/business.md`).

Reporting segments and FY2025 net revenue:

Segment	FY2025 Net Revenue	% of Total	YoY Change	Notes
Americas	\$7,847.0M	71%	(1.0)%	Core market; operated in region 25+ years
China Mainland	\$1,754.8M	16%	+28.9%	Fastest-growing segment; operating >10 years
Rest of World (APAC + EMEA)	\$1,500.8M	13%	+15.6%	Combined APAC/EMEA reporting segment

(Source: `primary_sources/FY2025/business.md`)

The company operates 811 company-operated stores globally as of February 1, 2026 (up from 767 a year earlier), plus 45 third-party-licensed locations, largely concentrated in the Middle East (`primary_sources/FY2025/business.md`). Sales per square foot declined to \$1,426 in 2025 from \$1,574 in 2024 (`primary_sources/FY2025/business.md`). As of February 1, 2026, the company had approximately 39,000 employees worldwide (`primary_sources/FY2025/business.md`).

The business is seasonal: approximately 37% of full-year FY2025 operating profit was generated in Q4, reflecting Americas holiday-season strength (`primary_sources/FY2025/business.md`).

For current financials, valuation, and capitalization detail, see `work_products/financials_summary.md` (FY2025 revenue \$11.1B, EBIT \$2.2B, FCF \$921.7M; LTM EV/EBIT ~6.8x, EV/EBITDA ~5.4x as of the \$117.32 share price).

2. Recent Developments

CEO transition. Calvin McDonald stepped down as CEO effective January 31, 2026 after more than 7 years leading the company (Knowledge Store ID 3). Meghan Frank (CFO) and Andre Maestrini (President and Chief Commercial Officer) have served as Interim Co-CEOs since (`primary_sources/1Q2026/earnings_call_transcript.md`). On April 22, 2026, lululemon named Heidi O'Neill — a 30+ year apparel/footwear/sport industry veteran with 25+ years at Nike, and a

current board member of Spotify, Hyatt Hotels, and Lithia & Driveway — as the incoming CEO, effective September 8, 2026, with a base salary of \$1.4 million (Knowledge Store ID 4). Per management on the Q1 FY2026 call: “we are excited we are excited to welcome incoming CEO, Heidi O’Neill to the company in September... it is clear to me she has a true passion for the Lululemon brand, a deep understanding of product excellence, extensive experience driving growth and transformation at scale” (Meghan Frank, primary_sources/1Q2026/earnings_call_transcript.md).

Activist proxy contest (resolved). Company founder Dennis “Chip” Wilson launched a public activist campaign and proxy fight ahead of the June 25, 2026 annual meeting, nominating Laura Gentile, Eric Hirshberg, and Marc Maurer to the board and running a dedicated campaign site (Knowledge Store ID 6). On May 26, 2026, lululemon reached a cooperation/settlement agreement with Wilson: Laura Gentile (former ESPN CMO) and Marc Maurer (former co-CEO of On) joined the board following the June 25 meeting, and Wilson agreed to a standstill pausing public criticism until 30 days before the 2028 nomination deadline (Knowledge Store ID 7). This matches the Q1 FY2026 earnings call reference to new directors “AC Eggleston-Bracey, who joined the board in April... Laura Gentile, and Mark Maurer, who will join the board following our annual meeting later this month” (primary_sources/1Q2026/earnings_call_transcript.md). The company also disclosed “costs related to the proxy contest” that pressured Q1 SG&A and are expected to continue into Q2 FY2026 (primary_sources/1Q2026/earnings_call_transcript.md).

Q1 FY2026 results and guidance cuts (reported June 4, 2026). Net revenue rose 4% (2% constant currency) to \$2.5 billion; diluted EPS of \$1.69 versus \$2.60 a year ago (primary_sources/1Q2026/earnings_call_transcript.md). North America revenue declined 3% (comps down 6%), while China Mainland revenue grew 30% (comps +13%, boosted 8 points by Chinese New Year timing) and Rest of World grew 13% (primary_sources/1Q2026/earnings_call_transcript.md). Management cut full-year FY2026 guidance: revenue now \$11.0–\$11.15B (flat to down 1%, vs. prior expectations), operating margin ~11.6% (down ~380bps YoY), and diluted EPS of \$10.95–\$11.15 versus \$13.26 in FY2025 (primary_sources/1Q2026/earnings_call_transcript.md). CFO Meghan Frank attributed the moderating trend to two factors: “spikes of negative commentary in the media and on social channels with regard to our brand, which had an impact on traffic,” and underperformance of certain new product launches, specifically noting the “Look of Yoga” campaign “has not had the expected halo effect on other areas of our assortment” (primary_sources/1Q2026/earnings_call_transcript.md).

Tariffs. On February 20, 2026, the U.S. Supreme Court invalidated tariffs imposed under IEEPA; the administration promptly reinstituted tariffs under alternative authority (primary_sources/1Q2026/financial_statements.md, Note 12). Lululemon is pursuing refund claims for IEEPA tariffs paid but has not recognized any related asset given uncertainty of recovery (primary_sources/1Q2026/financial_statements.md, Note 12). Tariffs had a 280bps negative gross-margin impact in Q1 FY2026 alone, and full-year FY2026 guidance assumes a 20% incremental tariff rate in the back half of the year (primary_sources/1Q2026/earnings_call_transcript.md). Separately, on March 27, 2026, lululemon USA was named in a consumer class action (*Neuman v. Lululemon USA Inc.*) alleging improper tariff-related pricing practices (primary_sources/1Q2026/financial_statements.md, Note 12).

Litigation overhang. A securities class action (*Patel v. Lululemon Athletica Inc., et al.*, filed August 8, 2024, S.D.N.Y.) alleges false/misleading statements between December 2023–July 2024 regarding business, product offerings, and inventory allocation; on March 31, 2026 the court granted the motion to dismiss in part and denied it in part, so the case continues (primary_sources/1Q2026/financial_statements.md, Note 12). Related stockholder

derivative actions have been consolidated and stayed pending resolution of the securities case (primary_sources/1Q2026/financial_statements.md, Note 12).

Analyst sentiment / stock performance. LULU shares are down approximately 43% year-to-date as of mid-July 2026, among the worst performers in the S&P 500 (Knowledge Store ID 5). On July 16, 2026, Truist Securities downgraded the stock from Hold to Sell, cutting its price target from \$115 to \$94 (~20% further downside from the time of the call), citing weakening card-spend data, deteriorating social-media brand momentum, rising competition, CEO-transition uncertainty, and tariff exposure given the company’s Asia-based manufacturing base; Americas comparable sales have now declined for five consecutive quarters (Knowledge Store ID 8).

3. Key Issues Affecting the Company

1. **North America turnaround is the central investment question.** The Americas segment (71% of FY2025 revenue) posted comps of -3% in FY2025 and -6% in Q1 FY2026, with five consecutive quarters of decline per Truist (Knowledge Store ID 8; primary_sources/FY2025/business.md; primary_sources/1Q2026/earnings_call_transcript.md). Full-year FY2026 guidance now assumes a high-single-digit North America revenue decline (primary_sources/1Q2026/earnings_call_transcript.md). Management’s response — reduced in-store SKU density (-15%), fewer markdowns, faster “Chase” replenishment ($+20\%$ volume chased YoY), and a shortened product development cycle (18–24 months $\rightarrow$ 15–16 months, targeting 12–14 months) — is unproven at scale (primary_sources/1Q2026/earnings_call_transcript.md).
2. **Brand momentum and product execution risk.** Management explicitly cited “spikes of negative commentary in the media and on social channels” and underperforming new launches (notably the “Look of Yoga” campaign) as drivers of the Q1-to-Q2 sales deceleration (primary_sources/1Q2026/earnings_call_transcript.md). This is a qualitative, harder-to-underwrite risk than typical cyclical demand softness, and it is now showing up in sell-side estimates (Truist flagged “deteriorating brand momentum across social media” as a downgrade driver — Knowledge Store ID 8).
3. **Leadership transition execution risk.** The company is being run by interim co-CEOs (CFO Meghan Frank and President Andre Maestrini) until incoming CEO Heidi O’Neill — an outside hire from Nike with no prior lululemon experience — starts September 8, 2026 (Knowledge Store ID 4; primary_sources/1Q2026/earnings_call_transcript.md). Truist flagged “uncertainty surrounding the company’s leadership transition” explicitly as a factor in its downgrade (Knowledge Store ID 8). This is inference, but a multi-quarter gap between CEOs during an active turnaround compounds execution risk.
4. **Governance overhang, now partly resolved.** Founder Chip Wilson’s proxy fight added board seats (Gentile, Maurer) and one-time proxy-contest costs that pressured Q1 FY2026 SG&A, with further costs guided into Q2 (primary_sources/1Q2026/earnings_call_transcript.md; Knowledge Store IDs 6, 7). While a settlement/standstill was reached (Knowledge Store ID 7), Wilson’s public campaign explicitly pushed for changes to “long-term brand strategy, store growth, digital initiatives” (Knowledge Store ID 6), meaning founder-level scrutiny of the new CEO’s strategy is likely to persist informally even under standstill.
5. **Margin pressure from tariffs and fixed-cost deleverage.** Q1 FY2026 gross margin fell 410bps YoY, with tariffs alone a 280bps drag; full-year FY2026 operating margin guidance

is down ~380bps YoY to ~11.6% (primary_sources/1Q2026/earnings_call_transcript.md). Given ~87% of product sourced from five Asian countries (primary_sources/FY2025/business.md), tariff policy remains an exogenous, largely uncontrollable input to earnings — compounded by the Supreme Court’s invalidation of IEEPA tariffs being immediately replaced with alternative-authority tariffs (primary_sources/1Q2026/financial_statements.md, Note 12).

6. **China Mainland is the clearest growth offset, but working off a smaller base.** China Mainland grew revenue 28.9% in FY2025 and 30% in Q1 FY2026 (16% and a rising share of total revenue, respectively), with management guiding to ~20% full-year FY2026 growth (primary_sources/FY2025/business.md; primary_sources/1Q2026/earnings_call_transcript.md). This provides a genuine offsetting growth engine, though it is roughly one-fifth to one-sixth the revenue size of the Americas segment (primary_sources/FY2025/business.md), so it cannot fully offset Americas dollar declines in the near term (inference).
7. **Unresolved securities litigation.** The *Patel* securities class action survived a partial motion-to-dismiss ruling on March 31, 2026 and continues; related derivative suits are stayed pending its outcome (primary_sources/1Q2026/financial_statements.md, Note 12). The financial exposure is currently unquantified (“unspecified monetary damages”), so this is a real but unsized tail risk rather than a modeled liability.

Sources

- primary_sources/FY2025/business.md (10-K, fiscal year ended February 1, 2026)
- primary_sources/1Q2026/earnings_call_transcript.md, financial_statements.md, md_and_a.md (10-Q, quarter ended May 3, 2026, and Q1 FY2026 earnings call, June 4, 2026)
- primary_sources/FY2025/earnings_call_transcript.md (Q4/FY2025 earnings call context)
- work_products/financials_summary.md (current valuation and financial summary)
- Knowledge Store IDs 1–8 (stores/knowledge_store.json) — WebSearch results on Q1/Q3/Q4 earnings call transcript sourcing, CEO transition, proxy contest and settlement, July 2026 news roundup, and Truist downgrade